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CAUTIONARY STATEMENT

The Board of Directors of Express Kenya PLC (the "Company") pursuant to the provisions of the Fifth Schedule of the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002, issues this announcement to shareholders of the Company, stakeholders and the general public.

The Covid-19 pandemic has adversely affected our business operations leading to reduced income resulting in reduced earnings. Based on a review of the Company's financial performance, the Board of Directors has determined that the earnings for the financial year ending 31st December 2020 are projected to be lower than the earnings for the previous year.

The Board and Management are focused on enhancing the Company's financial performance through improving operational efficiency, growing income, reducing losses and managing costs.

BY ORDER OF THE BOARD

A handwritten signature in dark ink, appearing to read "C. Obura", is written above the printed name.

DR. C.W. OBUWA
CHAIRMAN

DISCLAIMER

This announcement has been issued with the approval of the Capital Markets Authority pursuant to the Capital Markets (Securities) (Public Offers, Listing and Disclosure) regulations 2002 as amended. As a matter of policy, the Capital Markets Authority assumes no responsibility for the correctness of the statements appearing in this announcement.

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

	30 June 2020 Shs '000	31 December 2019 Shs '000
Revenue	7,995	20,218
Direct costs	(4,303)	(20,069)
Gross profit	3,692	149
Other operating income	154	15,048
Impairment provisions	-	(485)
Administrative expenses	(7,728)	(15,574)
Other operating expenses	(6,770)	(11,516)
Operating (loss)	(10,652)	(12,378)
Finance costs	(1,410)	(10,785)
(Loss) before tax	(12,062)	(23,163)
Tax credit	-	1,385
(Loss) for the year	(12,062)	(21,778)
Basic and diluted (loss) per share	(0.29)	(0.53)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	As at 30 June 2020 Shs '000	As at 31 December 2019 Shs '000
CAPITAL EMPLOYED		
Share capital	238,557	238,557
Share premium	28,963	28,963
Revaluation reserve	202,181	202,181
Accumulated losses	(452,042)	(439,980)
Shareholders' funds	17,659	29,721
Non-current liabilities		
Borrowings	270,540	259,040
Lease liabilities	13,775	13,775
Deferred tax	118,486	118,486
	402,801	391,301
	420,460	421,022
REPRESENTED BY		
Non-current assets		
Property, plant and equipment	371,202	375,180
Right-of-use assets	18,679	20,646
	389,881	395,826
Current assets		
Inventories	28,752	28,752
Trade and other receivables	13,339	14,149
Cash and cash equivalents	619	1,709
Tax recoverable	31,301	31,301
	74,011	75,911
Current liabilities		
Borrowings	9,367	13,861
Lease liabilities	3,007	3,007
Trade and other payables	30,408	33,197
Provision for legal claims	650	650
	43,432	50,715
Net current assets	30,579	25,196
	420,460	421,022

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Shs '000	Share premium Shs '000	Revaluation reserve Shs '000	Accumulated losses Shs '000	Total Shs '000
Period ended 30 June 2020					
At start of period	238,557	28,963	202,181	(439,980)	29,721
(Loss) for the period	-	-	-	(12,062)	(12,062)
At end of period	238,557	28,963	202,181	(452,042)	17,659

**ABRIDGED CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 JUNE 2020**

	2020 Shs '000	2019 Shs '000
At start of period/year	(3,352)	(48,107)
Net cash (used in) operating activities	(8,083)	(33,704)
Net cash (used in)/from investing activities	(13)	7,753
Net cash (used in)/from financing activities	(1,385)	70,704
Effect of exchange rate changes	-	2
At end of period/year	(12,832)	(3,352)

By order of the board


Chairman

Performance

The group's six months performance to 30 June 2020 has been fairly stable. The continued cost rationalisation by the group resulted in the loss per share declining from Shs. 0.53 in the year ended 31 December 2019 to 0.29 for the six months period ended 30 June 2020.